

Multiple Choice

1. **Answer:** D

Options: A) Brand reputation and advertising; B) Demand and supply; C) Technological innovation and research and development; D) Production function and prices of inputs; E) Company's ethical policies and social responsibility initiatives

Note: Correct option: D - Production function and prices of inputs

2. **Answer:** C

Options: A) decreasing AD with constant SRAS.; B) a decrease in AD with increasing SRAS.; C) decreasing SRAS with constant AD.; D) increasing both AD and SRAS.; E) a decrease in AD and an increase in SRAS.

Note: Correct option: C - decreasing SRAS with constant AD.

3. **Answer:** A

Options: A) 20; B) 5; C) 30; D) 15; E) 12

Note: Correct option: A - 20

4. **Answer:** D

Options: A) A decrease in both supply and demand and an ambiguous change in interest rates.; B) An increase in supply lowering the interest rate.; C) A decrease in demand increasing the interest rate.; D) An increase in demand increasing the interest rate.; E) A decrease in supply increasing the interest rate.

Note: Correct option: D - An increase in demand increasing the interest rate.

5. **Answer:** D

Options: A) this will cause the supply of the product to decrease right now.; B) this will have no effect on the amount of the product supplied right now.; C) this will have no effect on the supply of the product now or later.; D) this will cause the supply of the product to increase right now.; E) this will cause the supply of the product to decrease in the future.

Note: Correct option: D - this will cause the supply of the product to increase right now.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'If both the demand and supply curves are price inelastic'.

7. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
8. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
9. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: '(ii), (iii), and (iv) only'.
10. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** Money demand is nearly perfectly elastic.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** Over-simplification and over-reliance. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key